FRS Interviewer Guide to

Savings

Mortgages

Pensions

Benefits and Credits

Updated February 2023

A note on the Child Trust Fund (CTF) and Junior ISA

monthly, based on the amount of money in the account as well as interest rates.

National Savings & Investments (accounts)

Capital Bonds (NS&I) (matured & closed

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MORTGAGES

The FRS asks about owned accommodation and mortgages taken out to purchase a property and also re-mortgages. There has been a recent move towards more

In many cases linked investments are taken out to pay back the original amount borrowed when the term ends.

a) Combined with linked investments, e.g. Unit trust, ISA
   OR
b) No linked investments

This allows all finances to be kept under ‘one roof’ - rather than having a separate mortgage and current account, both are kept together and the funds in the current account are used to offset theandinterest of the mortgage balance. So for exaample

client, and is leased back to them over a fixed term. Once, the purchase price is paid in full, the property transfers from the lender, to the client. *For the FRS, t*

6[illegible]

example, by qualifying for Home Responsibilities Protection (HRP). Most employers take NI contributions out of your wages. If you are self

running them, including via an insurance company or master trust provider.

Individual Personal pensions
Unlike occupational pensions, this type of pension is not connected to one's workplace.

amount of money paid in, and how the investment has grown. At retirement, this fund can be used to buy an annuity from an insurance company that will give you a

Self-

From 1978 to 6 April 2016, members of an occupational pension that met certain requirements could ‘contract out’ of the State Second Pension. Employers and employees paid lower NI contributions, but the employees got a reduced entitlement to the State Second Pension as their company pension typically took its place.

From 1988 to 6 April 2016, employees with a personal pension (or since 2001, a SHP) could also opt to ‘contract out‘ if they thought it will give them a higher income, or other benefits, when they retired. They paid

. Employers and

they wish. Part-time workers who earn less than £10,000 can ask to take part.

Pension Freedoms Ppart

Since the introduction of the Pension Freedoms reforms in April 2015, people aged 55 and over are able to use their Defined Contribution pension pots as they wish.

The following are the options

value too. Each time you take a lump sum, normally a quarter of it is tax-free and the rest wiQq be taxed. You may need to move iQto a newq pension plan to do this.

Youcan get a flexible retirement income (drawdown)

You can qeave your money in your pension pot and take an iQcome from it, by choosiQg a drawdowQproduct. You may need to move iQto a newq pension plan to do this. Your pension pot remains invested, but up to a quarter of your pension pot can usually be taken tax-free. Any other wiQdrawals wiQq be taxed whether you take them as income or as lump sums. You do not have to take an iQcome, some people access theiQpension just to take the tax free lump sum and leave the rest of the money iQvested untiqq they areeady to take a decision.

Youcan choose more than one opion and you can mix them

You can also choose to take your pension usiQg a combinatiqon of some or alq oIhe optiqons over time or over your total pot. If you have more than one pot, you can use the different optis for each pot. Some pension providers or advisers can offer you an optiqon that

Claimants who don’t have children under 20 years old in full-

Council tax reduction (sometimes called Council Tax Support and formerly Council Tax Benefit)
Paid by the local authority to the people who are liable for the tax - usually the householder(s). From 2013, the administration of this reduction is carried out by local autho

Educational Maintenance Allowance (EMA)

Funeral Expenses Payment (England, Wales and Northern Ireland) / Funeral Support Payment (Scotland) *m*

Statutory Maternity Pay (SMP)
Received by employees during maternity leave. SMP can be paid for up to 39 weeks. The employer may also add 'made-up' pay. The first six weeks are paid at 90% of respondent's salary, and 33 weeks at the standard flat rate of £156.66 or 90% of average earnings if less than the flat-rate amount.

It is paid by the employer. The respondent must have been in the same job for at least 26 weeks and have earnt on average at least £120 a week. Note: SMP

- For those paying rent or a mortgage, it will also include a housing element, as a contribution to their housing costs. For renters, this will be determined by their rent, and can be paid direct to the landlord if this is preferable. Those who own their home with a mortgage may add an amount in support of their mortgage (interest) payments,

pahere their earnings fall below a certain 4 595.32 reW*nBT/F2 11.04 Tfe/F2 2 9.96 Tf

BENEFIT AMOUNTS 2023/24

claimant (main phase), partner under 18		£84.80

Premiums

enhanced disability

single	£19.55
couple	£27.90

severe disability

single